Type MS · Draw a minimum wage on a labour market diagram

Answer 1 of 3 · Question 3 part c · 3 marks

2021 NOV · Paper 01 · extract 1 of 7 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** Lack of information A is not correct because this will fill skills shortages B is not correct because this will lead to greater efficiency D is not correct because this improves productivity	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **D** Sales assistant A is not correct because this role is in the primary sector B is not correct because this role is in the secondary sector C is not correct because this role produces primary products	**(1)**

Type MS · Draw a minimum wage on a labour market diagram

Answer 1 of 3 · Question 3 part c · 3 marks

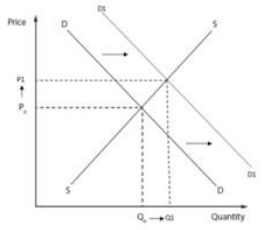
2021 NOV · Paper 01 · extract 2 of 7 · find part c in this mark scheme extract

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing new wage rate, labelled Award 1 mark for new quantity demanded, labelled Award 1 mark for new quantity supplied, labelled  	(3)

Type MS · Draw a minimum wage on a labour market diagram

Answer 1 of 3 · Question 3 part c · 3 marks

2021 NOV · Paper 01 · extract 3 of 7 · find part c in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A demand curve shows how much of a good will be purchased at different prices • Advertising is one of the factors likely to shift a demand curve to the right (increase in quantity demanded) • Possible use of a diagram:  • Worldwide advertising during a popular event, such as an international cricket match, may encourage consumers to purchase Pepsi due to greater awareness and brand loyalty, therefore increasing the quantity demanded • The quantity of Pepsi demanded is likely to have increased as a result of the advertising (from Q_e to Q_1) because consumers of soft drinks may be influenced by the adverts and make an association between Pepsi and the cricket

Type MS · Draw a minimum wage on a labour market diagram

Answer 1 of 3 · Question 3 part c · 3 marks

2021 NOV · Paper 01 · extract 4 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a minimum wage on a labour market diagram

Answer 1 of 3 · Question 3 part c · 3 marks

2021 NOV · Paper 01 · extract 5 of 7 · find part c in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The supply of labour is the amount of time a worker is willing and able to work at a given wage rate, over a given period of time • By increasing the retirement age people will have to work longer before they can receive a state pension • In Singapore, 62-, 63- and 64-year-olds will need to continue to work after the change to the age of retirement comes into effect • This means that there will be an increase in the supply of labour • As there are more people living to 80+, this will mean the increase in the retirement age will be effective in increasing the supply of labour **AO4** • However, a higher retirement age may not be the most effective method of increasing the labour supply in the manufacturing sector, which is significant in Singapore • This is because this sector may require younger employees to carry out the roles required within the industry • Other factors such as lowering the school-leaving age, migration or female participation may be more effective • Increasing skills and qualifications of employees may also be more effective, especially if the financial services industry continues to grow in Singapore • This is because the nature of the industry means being skilled in financial services may lead to employees who are able to supply a greater amount of labour than older employees

Type MS · Draw a minimum wage on a labour market diagram

Answer 1 of 3 · Question 3 part c · 3 marks

2021 NOV · Paper 01 · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a minimum wage on a labour market diagram

Answer 1 of 3 · Question 3 part c · 3 marks

2021 NOV · Paper 01 · extract 7 of 7 · find part c in this mark scheme extract

Question number	Answer	Mark

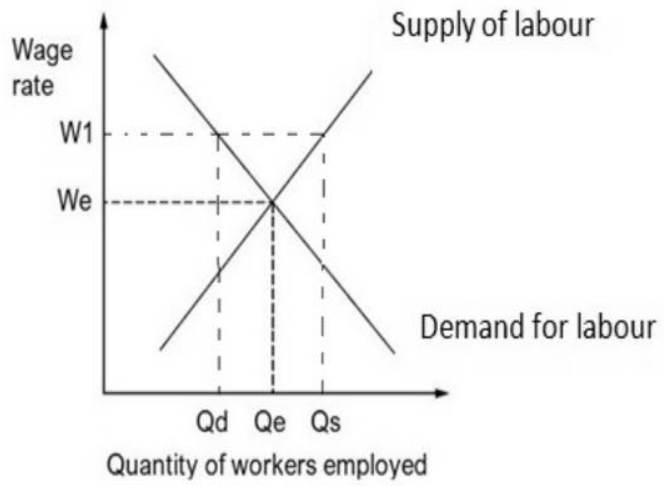
Type MS · Draw a minimum wage on a labour market diagram

Answer 2 of 3 · Question 3 part c · 3 marks

2019 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** **D** An inferior good	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **B** An increase in bureaucracy	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing equilibrium wage rate, labelled Award 1 mark for new quantity demanded, labelled Award 1 mark for new quantity supplied, labelled  	**(3)**

Type MS · Draw a minimum wage on a labour market diagram

Answer 2 of 3 · Question 3 part c · 3 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There may not be enough people in Canada undertaking the required training to gain the specialist skills and qualifications required • This may be because it takes too long or costs too much for the training • Canada is a very big country and so it may be difficult for the specialist workers to move from their geographic locations • There may have been a faster increase in demand for the specialist skills such as computer engineers and web designers, than the supply of them • Wages and rewards for the computer engineers/web designers may be higher in other countries, encouraging workers to leave Canada

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a minimum wage on a labour market diagram

Answer 2 of 3 · Question 3 part c · 3 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Skills could be gained through education in schools and colleges leading to qualifications in technical areas relevant to business • Skills can also be gained through work place training by employers • Through education and training, workers will be more skilled and may therefore be more productive. This could lead to an increase in international competitiveness • Workers may be more motivated as a result of the training, leading to greater job satisfaction, lower labour turnover and improved productivity • Through improved human capital the quality of labour is greater and productivity can be increased. This could mean income per capita increases **AO4** • However, the cost to the firm of staff training/the Canadian Government of providing education may be too great compared to investing in technological advances • The firm may be reluctant to invest in human capital if it pays to train workers but they then leave for alternative employment. • Increasing technological developments may be more financially viable. • To be effective the quality of the training needs to be of a high enough standard to meet the requirements of the work place • It takes a long time for the benefits of education to lead to increased productivity. This could explain why Canada's labour productivity growth took time to become the 3rd most productive of the leading economies • It depends on the nature of the industry, some industries are better suited to having highly skilled workers e.g. service industries • Whereas some industries suit increased automation and use of technological advances rather than investing in human capital

Type MS · Draw a minimum wage on a labour market diagram

Answer 2 of 3 · Question 3 part c · 3 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a minimum wage on a labour market diagram

Answer 2 of 3 · Question 3 part c · 3 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark

Type MS · Draw a minimum wage on a labour market diagram

Answer 3 of 3 · Question 3 part c · 3 marks

2025 JUN · Paper 01 · extract 1 of 7 · find part c in this mark scheme extract

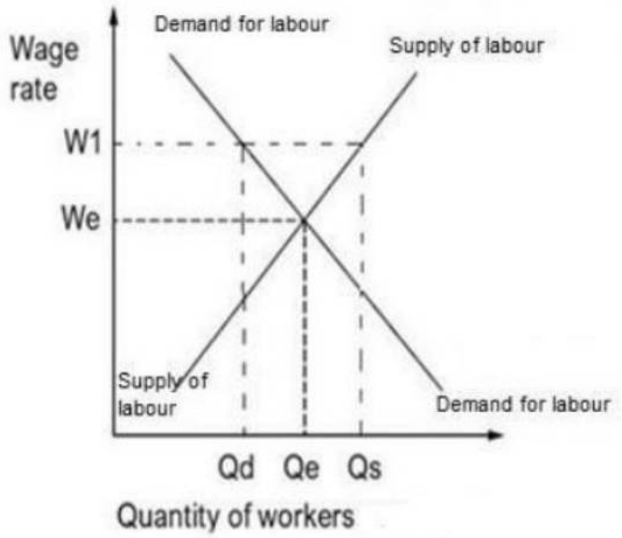
3(a)	**AO1 1 mark** The only correct answer is: **B** Enjoys the benefit of a good but does not pay for it A is not correct because a free rider does not pay for the good C is not correct because a free rider does neither of these D is not correct because a free rider does use the good	**(1)**

Question number	Which **one** of the following is an example of an occupation in the tertiary sector? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** Hotel receptionist A is not correct because this role is in the secondary sector B is not correct because this role is in the primary sector D is not correct because this role produces primary products	**(1)**

Type MS · Draw a minimum wage on a labour market diagram

Answer 3 of 3 · Question 3 part c · 3 marks

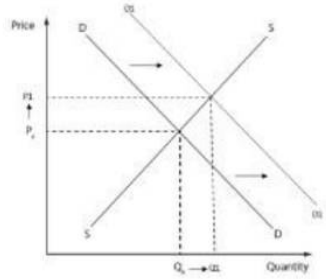
2025 JUN · Paper 01 · extract 2 of 7 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the effect of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing the new wage rate, labelled Award 1 mark for the new quantity of labour demanded, labelled Award 1 mark for the new quantity of labour supplied, labelled  	(3)

Type MS · Draw a minimum wage on a labour market diagram

Answer 3 of 3 · Question 3 part c · 3 marks

2025 JUN · Paper 01 · extract 3 of 7 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how the demand curve for Tennis TV subscriptions might have been affected by Amazon Prime ending its streaming service. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A demand curve shows how much of a good will be purchased at different prices • An increase in the price of substitute goods is one of the factors likely to shift a demand curve to the right • Possible use of a diagram:  • The end of Amazon Prime's streaming service, means the only substitute is the higher priced service from Sky and it may encourage more customers to demand Tennis TV subscriptions instead, therefore increasing demand • The quantity of Tennis TV subscriptions demanded is likely to have increased (from Q_e to Q_1) as a result of the higher priced substitute because customers of tennis subscriptions are likely to want to maximise their benefit by receiving more for their money • Tennis TV may therefore have increased the price of its subscriptions (from P_e to P_1) as a result of the increase in demand

Type MS · Draw a minimum wage on a labour market diagram

Answer 3 of 3 · Question 3 part c · 3 marks

2025 JUN · Paper 01 · extract 4 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a minimum wage on a labour market diagram

Answer 3 of 3 · Question 3 part c · 3 marks

2025 JUN · Paper 01 · extract 5 of 7 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of subsidies in dealing with externalities, such as road congestion. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Congestion is an example of a negative externality because it is created by high volumes of traffic and has an external cost, such as pollution, for the people of Sri Lanka • One method of government intervention to reduce negative externalities is to offer subsidies to producers of services, such as SLR providing rail travel • These subsidies will encourage the provision of cheaper and more comfortable rail travel, thus attracting passengers onto the trains and away from the busy roads • The Sri Lankan Government offers these subsidies in an attempt to reduce congestion and therefore reduce the negative externalities to the public in Sri Lanka **AO4** • However, there is no guarantee that the cheaper rail travel will attract people onto the trains, as the existing railway tracks need upgrading and the trains can be overcrowded • This means that rail travel may be uncomfortable, limiting the demand from passengers even with cheaper ticket prices • As SLR has made a loss of Rs 331bn over the last 10 years, the Sri Lankan Government may need to provide a larger subsidy to cover this loss, as well as paying for the upgrade of the rail service • Other policies may be more effective, such as taxation of vehicles on the road • There may be an opportunity cost of providing the subsidies, such as reduced revenue to cover education and/or health care

Type MS · Draw a minimum wage on a labour market diagram

Answer 3 of 3 · Question 3 part c · 3 marks

2025 JUN · Paper 01 · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a minimum wage on a labour market diagram

Answer 3 of 3 · Question 3 part c · 3 marks

2025 JUN · Paper 01 · extract 7 of 7 · find part c in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in profit** for the firm between 2021 and 2023. You are advised to show your working. **Answer**	Mark